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According to Indian Accounting Standards, AS-2 (Revised), "Net realisable value is the estimated selling price in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale."



The principle of valuation of stock is based on the convention of conservatism.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Stock (closing) A/c	Dr.		xxx	
To Trading A/c				xxx
(Closing stock brought into account)				

Presentation in final accounts

In the Trading Account	Shown on the credit side.
In the Balance Sheet	Shown on the assets side under current assets.

Tutorial note

Closing stock is the opening stock for the next accounting period. At the beginning of the next accounting period this entry is reversed to bring into account the opening stock.

Example

The value of closing stock shown as adjustment on 31st March, 2016 is ` 10,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Stock - in trade (closing) A/c	Dr.		10,000	
March 31	To Trading A/c				10,000
	(Closing stock brought into account)				

In final accounts, it is presented as follows:

Dr. Trading Account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
			By Closing stock		10,000

Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
			Stock-in-trade		10,000

Tutorial note

If closing stock is already adjusted, adjusted purchases account and closing stock will appear in trial balance. Adjusted purchases account will be shown on the debit side of the trading account and closing stock will be shown on the assets side of the balance sheet.